CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E9C2FF856
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: Simpson, Erik <erik.simpson@enron.com>
Sent: Sat, 6 Oct 2001 12:36:23 -0700 (PDT)
To: Sturm, Fletcher J. <j..sturm@enron.com>, Presto, Kevin M. <m..presto@enron.com>
Subject: Letter of resignation

Dear Fletch and Kevin:

I have decided that due to my poor performance in the East Power group that I will need to resign from Enron Corporation.

I want you both to know that I have tremendous regard for you both as professionals and with respect to the group you have built. Unfortunately I have never performed so poorly in a job function at Enron or any other organization I have been with in the past. Therefore I think the best solution is for me to move on and look for employment elsewhere in a different career field or capacity.

As you are both well aware, I have struggled to effectively manage the risks I have taken on as a market maker and have hedged those risks ineffectively as per my P&L. At my level of experience and responsibility I think that result is not acceptable. My largest failure has been in my study over fundamentals to find something that consistently correlates with the off-peak Cinergy price movements to hedge the larger positions I have had during uncertain market times. Also I have been ineffective at finding the other side of transactions in my book at a level which is inside my bid-offer spread.

I think you both gave me an opportunity of a lifetime and I apologize that I have let you down by not performing given the investment you made in me. However I think that this is a better result for the company so that further losses are not sustained. I will be in Monday to finish any responsibilities that are required to assist if necessary.

Sincerely,

Erik M. Simpson

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